Final Settlement Module

1. Introduction

The Final Settlement module is designed to calculate the total amount payable to an employee upon their termination from the company. This calculation includes any outstanding salary, unused vacation days, severance pay, interest on severance, service bonus, and, in some cases, compensation for dismissal without just cause. This is an essential function to ensure compliance with Colombian labor law.

2. Objectives

- Automate the calculation of an employee's final settlement.
- Ensure that all legally required components are included in the settlement.
- Record and store a history of processed final settlements.

3. Features

3.1 Pending Salary Calculation

- Determine the proportional salary for the days worked during the final pay period.

3.2 Severance and Interest Calculation

- Accumulated proportional severance.
- Severance interest calculated at an annual rate of 12%.

3.3 Proportional Service Bonus Calculation

- Calculate the proportional value of the service bonus for the current semester.

3.4 Unused Vacation Calculation

- Convert unused vacation days into their monetary equivalent.

3.5 Dismissal Compensation Calculation (if applicable)

- Additional amount in the case of dismissal without just cause, based on time worked and type of contract.

3.6 Final Settlement Record and Inquiry

- Store the data of the processed settlement and allow future consultations.

4. Database Model

Table: FinalSettlement

Campo	Tipo de Dato	Descripción
id	INT (PK)	Identificador único
empleado_id	INT (FK)	Referencia al empleado
salario_pendiente	DECIMAL(10,2)	Valor de salario pendiente por pagar
cesantias	DECIMAL(10,2)	Cesantías proporcionales acumuladas
intereses_cesantias	DECIMAL(10,2)	Intereses sobre cesantías acumuladas
prima_proporcional	DECIMAL(10,2)	Prima de servicios proporcional al tiempo trabajado
vacaciones_pendientes	DECIMAL(10,2)	Días de vacaciones pendientes por pagar
indemnizacion	DECIMAL(10,2)	Valor de indemnización (si aplica)
total_liquidacion	DECIMAL(10,2)	Suma total a pagar
fecha_liquidacion	DATE	Fecha en la que se realizó la liquidación

5. Processes and Algorithms

Final Settlement Calculation

- Retrieve the base salary and number of days worked since the last settlement.

- Calculate the following components:

    - Proportional pending salary

    - Severance and its interest

    - Proportional service bonus

    - Unused vacation days
    - Compensation for unjustified dismissal (if applicable)
- Sum all components.
- Store the total result in the database.

6. Conclusion

The Final Settlement module enables the company to comply with legal requirements when an employee departs, ensuring that all outstanding amounts are calculated fairly, transparently, and with proper documentation. Its integration with the rest of the system ensures consistency and facilitates efficient human resource management.